

Dollarama Inc. (TSX: DOL)

A DCF-based valuation study on Canada's most beloved dollar store

Prepared by Asley Lopez Robleto - September 17, 2026

Preamble

I put this together over a few weeks this fall as a way to actually learn financial statement analysis and valuation, rather than just reading about them. I wanted to take a publicly traded Canadian company and I chose Dollarama because, personally, I love the company. Dollarama's six most recent fiscal years (FY2021 through FY2026), which use the 4-5-4 fiscal calendar commonly used in the retail industry, were the raw material: I built the three statements into a working model in Excel from scratch, then used that model to run a full discounted cash flow valuation.

What started as a fairly standard ratio-analysis exercise kept turning up things that needed a second look. For instance, I saw a capital structure distorted by years of aggressive buybacks, a lease-accounting wrinkle that, if ignored, quietly overstates the business by close to ten percent, and a recent acquisition in Australia that the market hasn't fully priced in yet either direction. This paper walks through what I found and how I got to a number.

Both this document and the model are personal projects built to understand how retail companies get valued, not a research report, and nothing in it should be read as a recommendation to buy or sell anything.

1. What Dollarama actually is

Dollarama is a small-box discount retailer built around a simple idea executed with a lot of discipline: sell everyday household items at a small number of fixed price points, keep the assortment tight, turn inventory fast, and control cost through direct, large-scale sourcing rather than through any particular product being special. It's easy to underrate how hard that is to do at scale. By the second quarter of fiscal 2027, the company was operating **2,929** stores across seven countries: 1,734 stores under the Dollarama banner in Canada, 414 stores in Australia under the newly acquired Dollarama Australia banner, and 781 stores across five Latin American countries through Dollarcity, an affiliate Dollarama holds a majority equity stake in rather than fully consolidates.

The Canadian business is still the core of the company and still growing. Management raised its long-term store target for Canada to 2,200 locations by 2034 (up from an earlier goal of 2,000 by

2031), and there's a track record behind that kind of target actually meaning something here. Doing some digging on the company's history, one can find that Dollarama hit its 900-store goal from its 2009 IPO right on schedule by 2014, its 1,200-store goal by 2018, and its 1,400-store goal a full year early, in 2021. To support the next leg of that growth, Dollarama is building a second distribution hub in the Calgary area, roughly \$450 million of construction on top of the land purchase, specifically to shorten the supply chain into Western Canada, which up to now has been served out of a single Montreal-area facility.

Two things stood out to me while reading through the older filings that don't get talked about much. First, Dollarama sources the majority of its merchandise overseas, historically more than half by volume and mostly out of China, all paid for in U.S. dollars. This means the business carries real foreign exchange exposure that has nothing to do with how well its stores are performing. Second, and more usefully, Canada has never matched the United States' tariff escalation on Chinese goods, so Dollarama hasn't had to absorb anything close to what Dollar Tree or Dollar General have faced south of the border on the same import categories. That's a real, structural cost advantage over its closest American analogues, and it's one of the more underappreciated reasons the Canadian dollar-store model has stayed so profitable.

2. What six years of statements actually show

The headline trend is straightforward: sales grew from \$4.03 billion in FY2021 to \$7.26 billion in FY2026, a compound rate of roughly 12.5% a year, and operating margin expanded steadily alongside it, from about 21% to almost 27%. Diluted earnings per share more than doubled over the same stretch, from \$1.81 to \$4.73. None of that is a surprise to anyone who has followed the stock. What's more interesting, and what took longer to untangle, is what happened on the balance sheet underneath that growth.

	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026
Sales (\$mm)	4,026	4,331	5,053	5,867	6,413	7,256
Operating margin	21.4%	22.7%	23.6%	25.5%	26.7%	26.7%
Net earnings (\$mm)	564	663	802	1,010	1,169	1,309
Diluted EPS	\$1.81	\$2.18	\$2.76	\$3.56	\$4.16	\$4.73
Free cash flow (\$mm)	721	906	712	1,252	1,401	1,488
Shareholders' equity (\$mm)	335	(66)	28	381	1,188	1,456

Figure 1 - Six-year financial snapshot, built from the company's audited consolidated financial statements.

I would like to point out that the last row is the one worth sitting with. Dollarama repurchased and cancelled shares aggressively in every single year of this window (over a billion dollars' worth in three of the six years) and for most of that stretch, the buybacks ran ahead of what free cash flow alone could fund, with the gap made up partly by new debt. Shareholders' equity actually went negative in FY2022 (about negative \$66 million against a balance sheet north of \$4 billion) and stayed under 1% of total assets in FY2023. It only really rebuilt to something that looks like a normal capital structure in FY2025 and FY2026.

This matters for anyone doing ratio analysis on this company, because later I realized it quietly breaks any ratio that divides by equity. Return on equity and debt-to-equity both swing to extreme, uninterpretable values in years where the denominator is tiny or negative. So, because the denominator briefly stopped meaning anything, the business suddenly seemed less appealing. I nearly missed this myself. My first pass at the model only flagged FY2022 (the negative-equity year) as distorted, and it took a second look to realize FY2021, FY2023, and FY2024 all had the same problem to varying degrees. It's a good reminder that a ratio can be arithmetically correct and still tell you nothing. For what it's worth, this isn't just a quirk of my own model, pulling up third-party data feeds on Dollarama during this same period turns up reported return-on-equity figures near 99% and debt-to-equity ratios above 300x, which is the same distortion showing up in the wild, reported without much context.

The more useful story is on the cash flow statement. Operating cash flow exceeded net earnings in every single year, which is a genuinely good sign. This means reported profit was backed by real cash. Free cash flow was positive throughout, growing from about \$721 million in FY2021 to nearly \$1.5 billion in FY2026. The two years free cash flow didn't fully cover dividends plus buybacks, FY2022 and FY2023, are also the two years with by far the largest new long-term debt raised (\$750 million and \$700 million respectively), which lines up. Debt did some real work funding the buyback program during the years equity was thinnest, before the company eased off and let equity rebuild.

3. The Australia acquisition

The acquisition of *The Reject Shop*, an Australian discount retailer, by Dollarama in July 2025 is an important development on Dollarama's strategy to expand to international markets. This acquisition was closed inside fiscal year 2026, which is why FY2026 is the first year in this dataset with a genuine Canada-plus-Australia footprint. The business now trades as *Dollarama Australia*. From what the three core statements alone can show, the deal added roughly \$74 million of goodwill and cost about \$182 million in cash, net of cash acquired. Getting the full

purchase price allocation, such as the fair value of assets acquired, any non-controlling interest, contingent consideration, etc., would require the business combinations notes from the actual annual report, which I took the decision to ignore as it's out of the intended scope and objectives of this model. So, I've left that as an open item rather than guessing at it.

The strategic logic is fairly clear: 414 stores across every Australian state, a market management openly calls underpenetrated, and a long-term target of roughly 700 Dollarama-branded stores there by 2034, more than 400 net new locations from where the network started. But I would rather say that this is very much a multi-year integration story, not an instant win. Management flagged on the Q2 FY2027 call (reported September 16, 2026) that the pace of store renovations (converting existing Reject Shop locations into the Dollarama format and fixtures) is expected to weigh more heavily on Australian sales through the back half of fiscal 2027 as the conversion program accelerates. Anyone modelling this business over the next year or two should expect the Australian segment to be a drag before it's a contributor.

4. Building the valuation

I built a fairly standard unlevered discounted cash flow model: project revenue, apply an operating margin assumption to get to EBIT, tax it to get NOPAT, add back depreciation and amortization, subtract capital expenditure and the change in working capital, and discount the resulting free cash flow back at the company's weighted average cost of capital. Two parts of this turned out to be less mechanical than I expected going in, and both are worth explaining because they moved the final number by a lot.

4.1 The lease problem

Store leases are not a footnote for a business like Dollarama. They're close to the entire real estate footprint. Doing some research on the matter, I found that, since IFRS 16 came into effect, a lease isn't just a rent expense anymore; it puts a right-of-use asset and a matching lease liability on the balance sheet, and splits the old "rent" line into depreciation and interest. I checked how Dollarama actually classifies this in its cash flow statement, and both the interest and the principal repayment on lease liabilities show up in financing activities, not operating. Which means the unlevered free cash flow this model builds, operating cash flow minus capital expenditures, already excludes every dollar of lease-related cash flow. That cash flow is available to lease obligations, not just to lenders and shareholders, so the net debt used to bridge from enterprise value down to equity value has to include lease liabilities too, or the model quietly hands their share of the value to equity without cost.

Fixing this dropped the implied share price from my initial price of about \$128 to about \$118, an 8% swing from getting one accounting treatment right. I didn't just take my own reasoning on faith here, either, for Dollarama disclosed an adjusted net debt to EBITDA ratio of 2.12x in its

Q2 FY2027 results. My own FY2026 year-end figure, built independently and before I'd seen that number, worked out to 2.14x. Having two separately-built numbers land that close to each other was, honestly, the most satisfying part of this whole project.

4.2 Building a real discount rate

My first pass at this model used a flat, assumed 7.5% discount rate, which is a completely normal thing to do as a placeholder and a slightly lazy thing to leave in a finished model. The proper way to build WACC is to price out each source of capital separately and blend them by their share of the capital structure, using market values rather than book values.

Cost of equity comes from CAPM: the risk-free rate (Canada's 10-year government bond yield, which sat around 3.85% in September 2026 after spiking on tariff and inflation concerns) plus beta times the equity risk premium. Beta is where this got genuinely uncertain as published estimates for Dollarama ranged from 0.05 to 0.87 depending on the benchmark and time window used, which reflects a real property of the stock. It's defensive enough that its returns barely track the broader market, so beta is a shaky input for it specifically. I used 0.5, roughly the middle of the more standard estimates, with a 5.5% equity risk premium, giving a cost of equity of about 6.6%.

Cost of debt didn't need to be estimated at all since Dollarama disclosed an actual weighted-average cost of debt of 2.67% in the same Q2 FY2027 release, low because 85% of its debt is old, fixed-rate notes issued years ago in a much cheaper rate environment. Lease financing gets its own rate too, for the same reason it gets its own line in net debt. So, I derived an implied 3.58% by dividing FY2026 lease interest paid by the FY2026 lease liability balance, rather than assuming a number. Blending all three by market value, equity around 90% of the capital structure given a market capitalization near \$47 billion against roughly \$2.6 billion of conventional debt and \$2.8 billion of lease liabilities, produces a WACC of **6.17%**.

Running the same model through that properly-built discount rate instead of the flat guess pushes the implied value per share up to \$168.19, using a base case of 8% revenue growth tapering to 2.5% terminal growth, a 26.5% operating margin, and the capital structure described above. The table below summarizes the moving pieces.

Assumption	Value	Basis
Revenue growth (explicit period)	8.0%	Below trailing 3-yr CAGR (~12.8%), which is inflated by the Australia deal

Assumption	Value	Basis
Operating margin	26.5%	Roughly close with the FY2024-FY2026 average
Effective tax rate	25.0%	Roughly close with the FY2024-FY2026 average
Terminal growth rate	2.5%	Roughly long-run Canadian nominal GDP growth
Cost of equity (CAPM)	6.6%	3.85% risk-free rate + 0.5 beta × 5.5% equity risk premium
Cost of debt (after-tax)	2.0%	Company-disclosed 2.67% pre-tax, shielded at a 25% tax rate
Cost of lease financing (after-tax)	2.7%	Implied from FY2026 lease interest and lease liabilities
WACC	6.17%	Market-value blend of the three costs of capital above
Implied value per share	\$168.19	vs. a \$118-128 range under the earlier flat-rate assumption

Figure 2 - Summary of DCF assumptions and output. Full build, including the sensitivity grid and every underlying formula, is in the accompanying workbook.

5. Where this lands next to the market

As of mid-September 2026, Dollarama shares were trading in roughly the \$165-175 range, which puts my \$168.19 base case surprisingly close to where the market already sits. That's a nice result, but it's worth being honest about the comparison. It took a rigorous discount rate to get there. The flat-rate version of the same model undershot the market by 25-30%, which says more about the danger of a lazy WACC assumption than it does about the business.

Sell-side coverage has generally sat above both figures. Twelve-month price targets across the analysts covering the stock clustered somewhere in the \$185-225 range at various points over the past year, with a consensus rating of Moderate Buy to Buy from the dozen-plus firms that follow it. The stock has also carried a rich multiple through most of that period. With a price-to-earnings ratio in the high-30s to mid-40s, well above what a typical retailer commands, which only really makes sense if the market expects this growth to keep compounding for a long time.

I'd attribute most of the remaining gap between my number and the sell side to how conservative my growth assumption is. This model holds revenue growth at a flat 8% for three years and fades it to 2.5% forever after that, deliberately cautious, since the trailing three-year growth rate is inflated by the Australia acquisition and I didn't want to extrapolate an inorganic bump as if it were organic. But Dollarama just raised its own same-store sales guidance to 4-4.5% and its net new store guidance to 65-75, on top of a credible, self-funded, three-geography growth runway, continued densification toward 2,200 Canadian stores, the Australian turnaround, and Dollarcity's ongoing expansion across five Latin American countries.

A model that gave more credit to that pipeline, or that valued the Dollarcity stake separately instead of folding its earnings into a blended operating margin, would likely close a good part of the remaining gap.

6. What could go wrong

A few things stood out while building this that I'd want to track if I were actually following this stock rather than just modelling it once.

Management has already flagged two near-term headwinds directly: the Australian renovation program is expected to weigh more on sales as the conversion pace picks up through the second half of fiscal 2027, and rising oil prices along with broader supply chain cost pressure are expected to work their way into costs with a lag over the same period. Separately, the Mexican operation (majority-owned through the same structure as Dollarcity) posted a small loss on ramp-up costs in the most recent quarter, which management expects to continue in the near term (immaterial in dollar terms today, but worth watching if it doesn't narrow).

The discount rate itself is a source of real uncertainty. Beta estimates for this stock spanned more than a fifteen-fold range across the sources I checked, and that single input alone can move the implied share price by tens of dollars, the sensitivity grid in the workbook shows this directly. A rich earnings multiple also makes the stock more sensitive to the direction of interest rates than a typical retailer would be; the same bond yield spike that pressured growth stocks broadly in the weeks before this quarter's print is a recurring risk, not a one-time event. And the buyback program, while it's clearly been a deliberate and long-running capital allocation choice rather than a one-off, has relied on debt during its most aggressive years (worth watching if the company's currently very cheap cost of debt [2.67%] isn't available the next time it needs to refinance).

7. Closing thoughts

The most useful thing this project taught me wasn't really about Dollarama specifically, it was how much of a DCF's output comes down to a small number of judgment calls that are easy to gloss over: how you treat leases, how you build a discount rate, how much credit you give a growth story that hasn't fully shown up in the numbers yet. Getting the mechanics right (formulas that tie out, a balance sheet that balances, a net debt figure that's internally consistent with how free cash flow was built) turned out to be necessary but not sufficient. The interesting work was in the assumptions, and in being honest about which ones I was genuinely uncertain of.

The full model, with all three financial statements rebuilt from the source filings, the ratio and DuPont analysis, the cash flow quality work, and the complete DCF with a live, editable WACC build, is available as an Excel workbook alongside this paper, with every formula visible and every assumption flagged. I'd encourage anyone reading this to open it and change a number or two rather than take any of the above on faith.

This document was produced as an independent student project to study financial statement analysis and discounted cash flow valuation using Dollarama Inc.'s publicly available financial statements. It is not investment research, is not affiliated with or endorsed by Dollarama Inc. or any financial institution, and does not constitute investment advice or a recommendation to buy, sell, or hold any security. All figures are drawn from Dollarama's audited consolidated financial statements and public disclosures; market data (share price, analyst targets, beta estimates) reflects publicly reported figures as of approximately mid-September 2026 and will have moved by the time this is read.